Tariff cuts, uneven income paths

Among India, China, Mauritius, Thailand, the Philippines, Pakistan, Côte d’Ivoire and Senegal, what happened to GNI per capita in the ten years after tariff-cutting episodes in 1991–1998—and what does this suggest for Nepal’s tariff schedule?

Ten countries pass the policy-data screen. Eight have documented episode years for the main comparison. Outcomes are mixed; the analysis does not identify a causal growth effect.

Outcome source: UNDP HDR25, GNI per capita in 2021 PPP dollars. Event outcome coverage: 1990–2008.

A policy-data rule, followed by documentary dating

Screen: mean tariff decline ≥20 percentage points, 1995–2005, with both tariff endpoints and some UNDP GNI data. All ten qualifying countries stay visible.

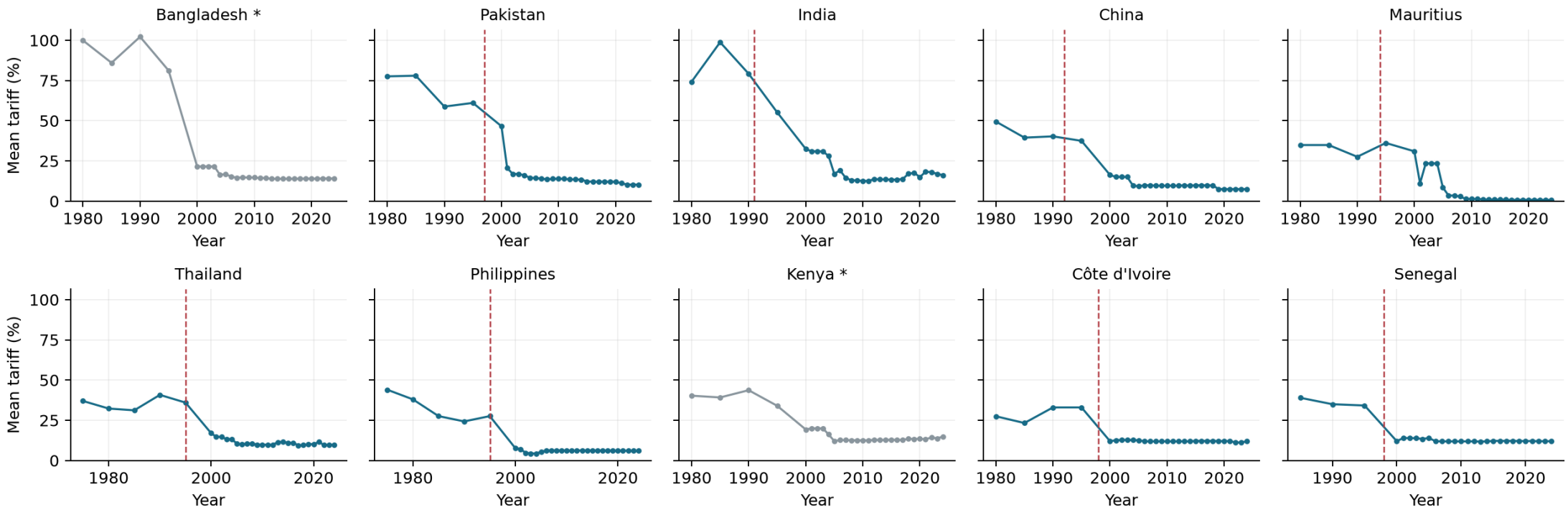
India	1991	**Philippines**	1995
China	1992	**Pakistan**	1997
Mauritius	1994	**Côte d'Ivoire**	1998
Thailand	1995	**Senegal**	1998

Bangladesh and Kenya: timing precision insufficient for the main tariff-event definition; retained in screening and a separate date grid. CIV/SEN share a regional reform.

Sources: EFW raw 4Aii; budget, executive-order, WTO, PIIE, SPDC and IMF records. Full locations: source appendix and date ledger.

Large tariff declines are visible in the policy data

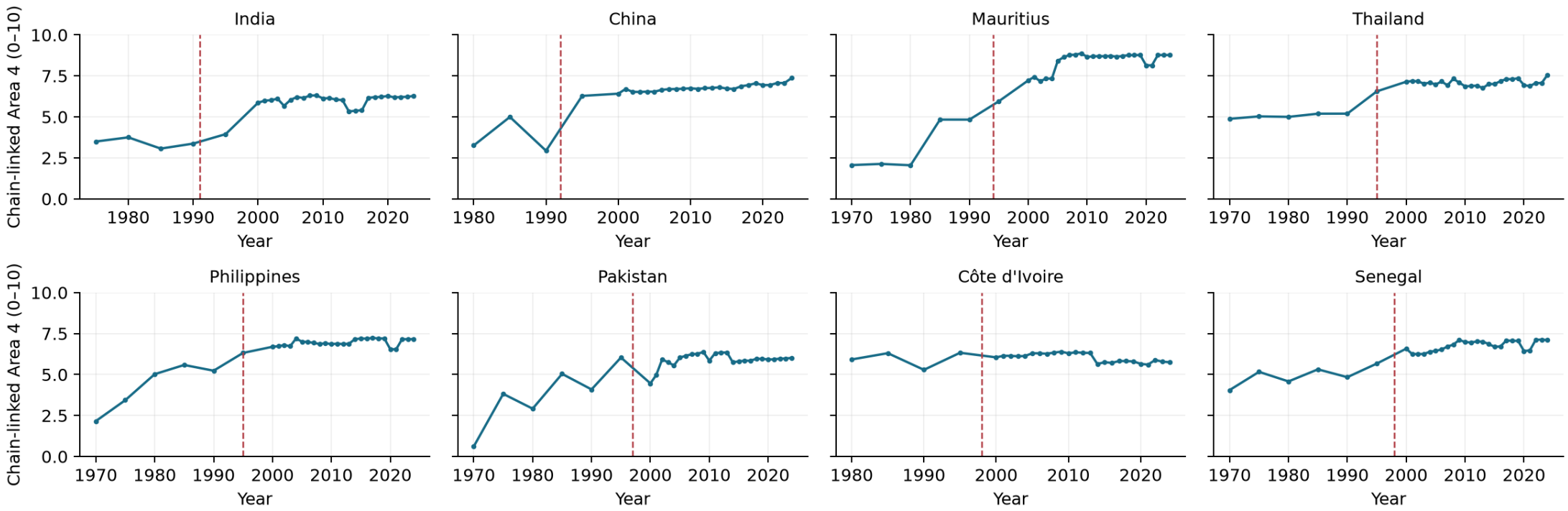
Figure 1. All ten screened countries: observed tariff histories



Fraser EFW Ratings, raw 4Aii (%); observed 1975–2024; n=10 screened. Dashed=episode year. *BGD/KEN: no main event date; retained.
Screen: decline ≥20 pp, 1995–2005. Five-yearly before 2000; annual afterwards. Lines connect observations; no interpolation.

Use the required chain-linked panel as context

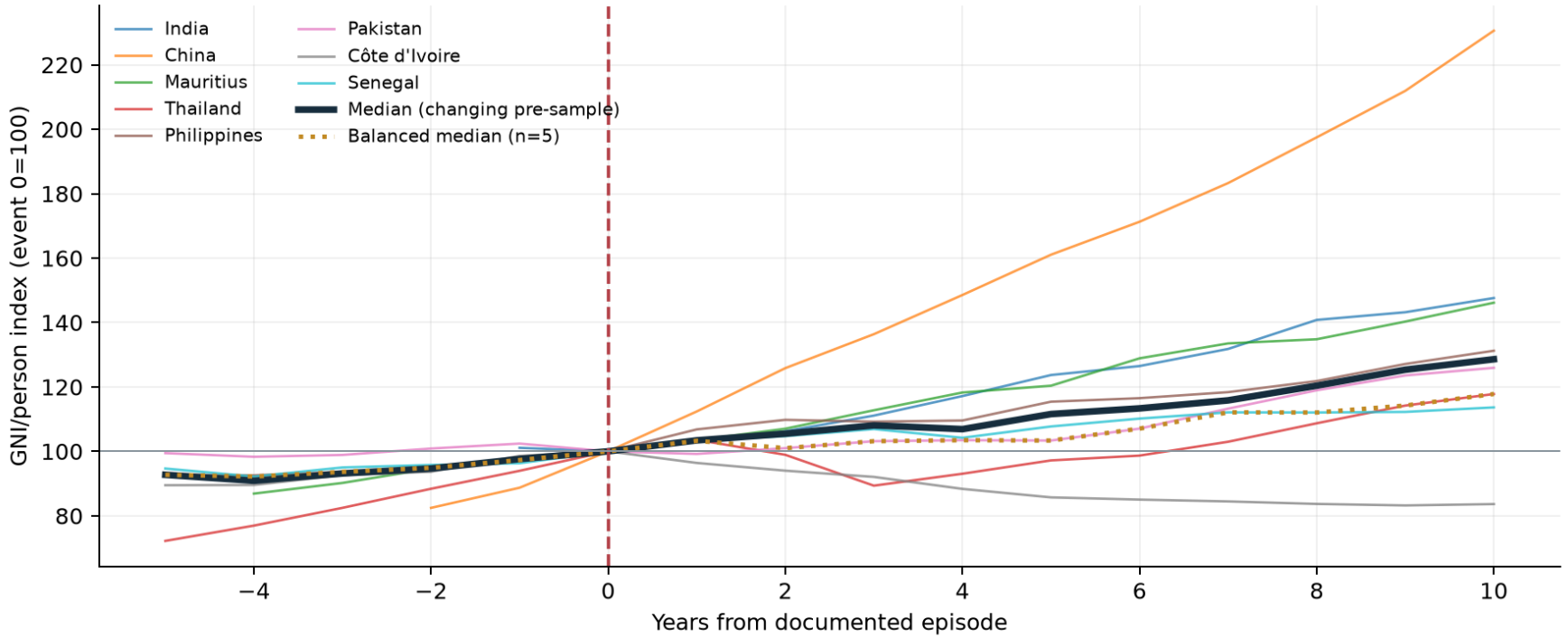
Figure 2. Broader trade institutions: the chain-linked EFW panel



Fraser EFW Panel Dataset, Area 4 (higher=more freedom to trade); 1970–2024; n=8 dated countries.
Dashed=episode year. BGD/KEN omitted from dated sample (timing precision). Area 4 includes non-tariff institutions; it is not a tariff-only measure.

Income rose in 7 of 8 cases; that does not establish an effect

Figure 4. Income around the documented tariff-cutting episodes



UNDP HDR25 GNI/person; event −5…+10 (1990–2008); n=8 dated cases, preperiod n=5–8.
BGD/KEN: timing-only sensitivity. Normalisation forces 100 at zero. Dotted line fixes membership; no causal effect is estimated.

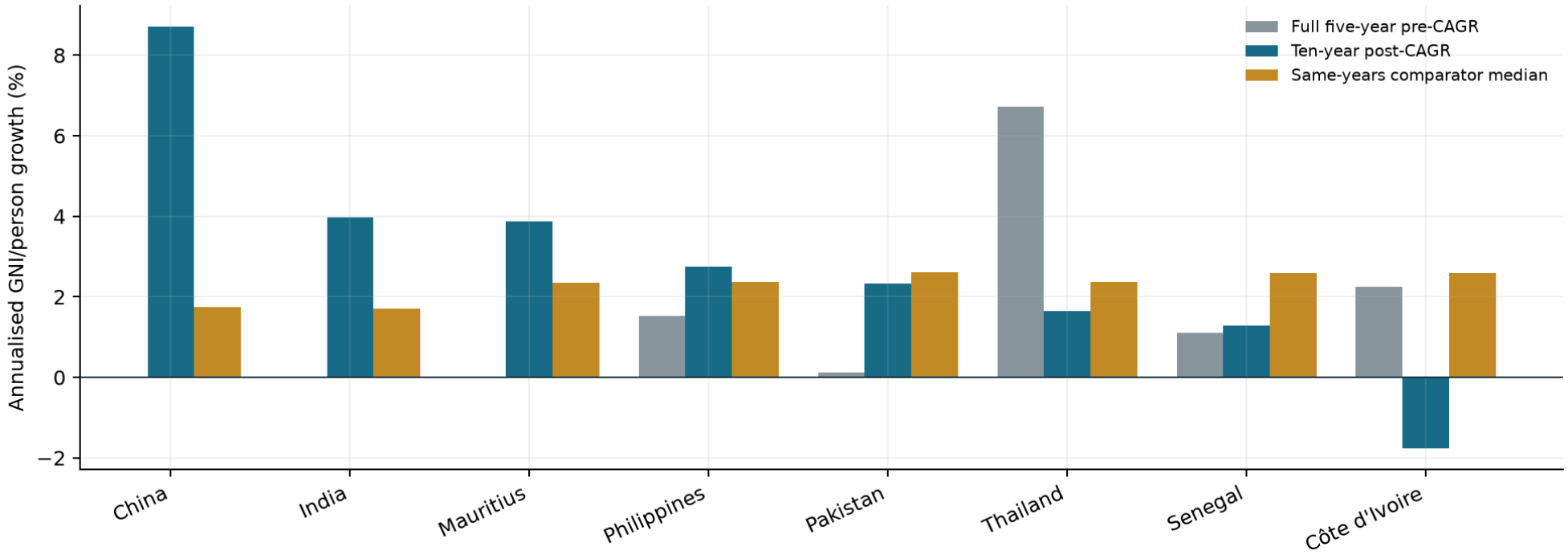
Event alignment

Every series equals 100 at reform by construction. That meeting point is not evidence.

Solid median changes membership before reform. Dotted median holds the five full-window countries fixed.

Growth accelerated in 3 of 5 cases with full prehistory

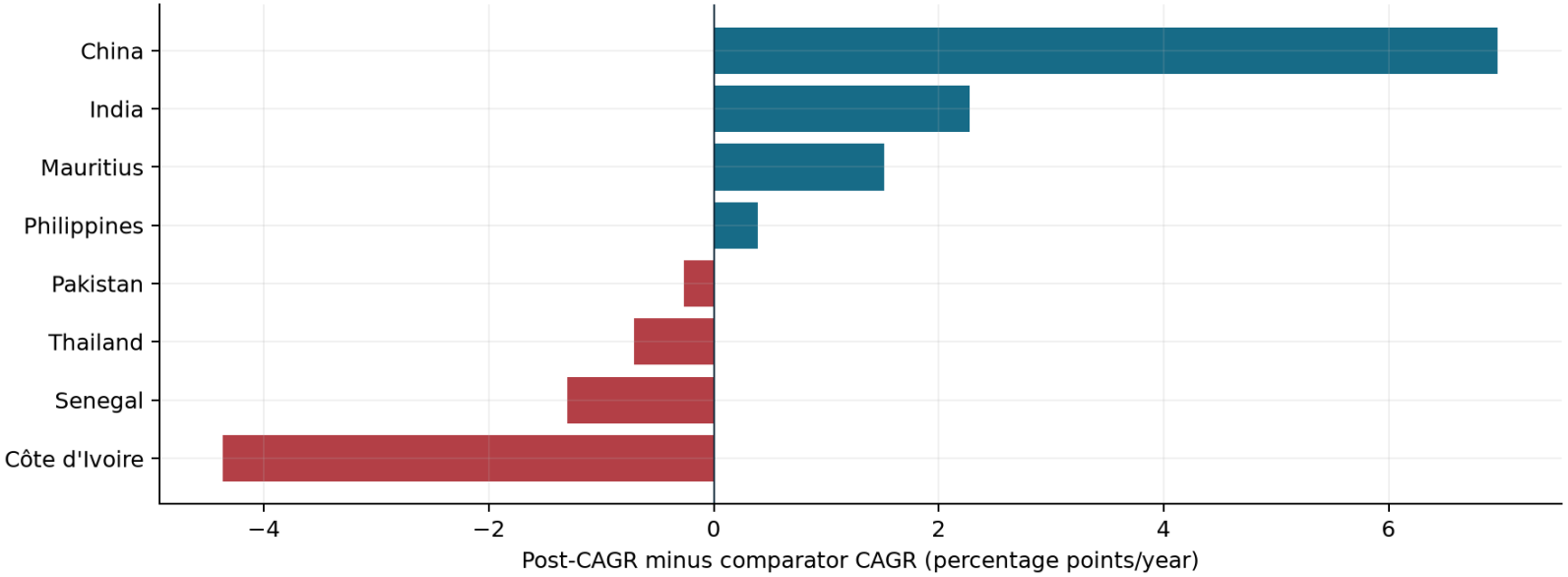
Figure 5. Income growth: before, after, and in other countries



UNDP HDR25; reform years 1991–1998, post endpoints 2001–2008; n=8, full five-year prehistory n=5.
Missing grey=unavailable, not zero. Comparator valid n=148–152; all ten screened cases excluded from comparator.

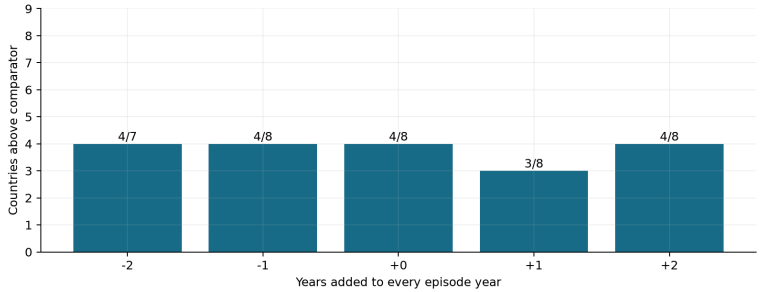
Only 4/8 exceeded the broad comparator

Figure 6. Which countries exceeded the broad comparator?



UNDP HDR25, ten-year windows beginning 1991–1998; n=8 dated cases. 4/8 above comparator; median excess +0.06 pp/year.
Red=not above. BGD/KEN timing sensitivity separate. CIV/SEN share one regional reform; comparator is not a causal counterfactual.

Figure 7. Timing sensitivity: the denominator follows valid data



UNDP HDR25; shifted episode years 1989–2000, ten-year post windows. n=valid endpoint pairs printed above each bar.
A pre-1990 start can be unavailable and is omitted from the denominator. Exact results and other checks: outputs/robustness.csv.

Median excess: +0.06 pp/year. Dating shifts change the sign of the median. The descriptive premium is fragile.

Figures 6–7. Contrary cases remain. Comparator countries can also reform; this comparison does not isolate tariff effects.

The conclusion survives only in a cautious form

Dependence on cases

Without China: 3/7 above comparator; median -0.27 pp/year. Removing both WAEMU countries changes the composition, not the main sample.

Timing uncertainty

Adding Bangladesh/Kenya under all 12 stated timing combinations gives 5/10 above comparator. Those are assumed event years, not newly verified laws.

Competing explanations

China/India’s wider reforms; Thailand’s financial crisis; Côte d’Ivoire’s instability and conflict. No matched counterfactual separates these from tariff changes.

Transfer to Nepal

Historical national averages cannot identify an optimal Nepal tariff or predict revenue, jobs, prices or income gains. Raw means and statutory tariff peaks are different objects.

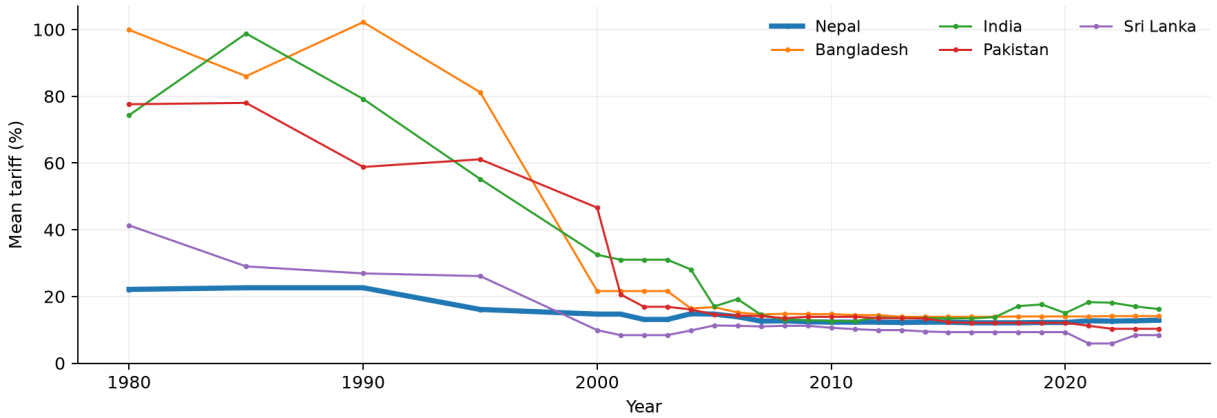
One modification: a transparent ceiling on tariff peaks

Nepal: amend Schedule 1 of the Customs Tariff Act 2081, as amended, to cap standard non-preferential ad valorem basic duties in HS25–97 at 20% over three budgets. Retain lower rates.

Authority: Ministry of Finance proposes; Federal Parliament enacts; Customs administers.
Mechanism: reduce the tax wedge on affected imports, widening choice and competition.

Current legal source: official 2026/27 tariff compilation, pages 4–5 and 215; Customs Tariff Act 2081.

Figure 8. Nepal: a different starting point from the largest cutters



Fraser EFW Ratings, raw 4Aii (%), observed 1980–2024; n=5 regional peers. Thick=Nepal.
Context only: a mean tariff is not a maximum statutory rate or a current fiscal-cost estimate. No post-2024 tariff values are assumed.

Figures 1–2 show historical policy changes; 4–7 limit the growth claim; 8 shows Nepal's different starting point. A 20% ceiling is proposed, not an estimated optimum.

More freedom to exchange, with costs stated openly

Liberty principle: purchasers and sellers should have wider freedom to exchange under predictable rules. Protection gives concentrated benefits to selected producers while spreading costs across buyers.

Strongest objection: tariff revenue may fall before public finances adjust, while protected firms and workers face concentrated losses. A gradual transition does not remove these costs. Our data do not quantify them.

Policy judgement: lower remaining tariff peaks cautiously; do not promise a growth premium. The historical evidence is mixed and cannot establish the proposed ceiling’s welfare effect.

Appendix A · Chart index

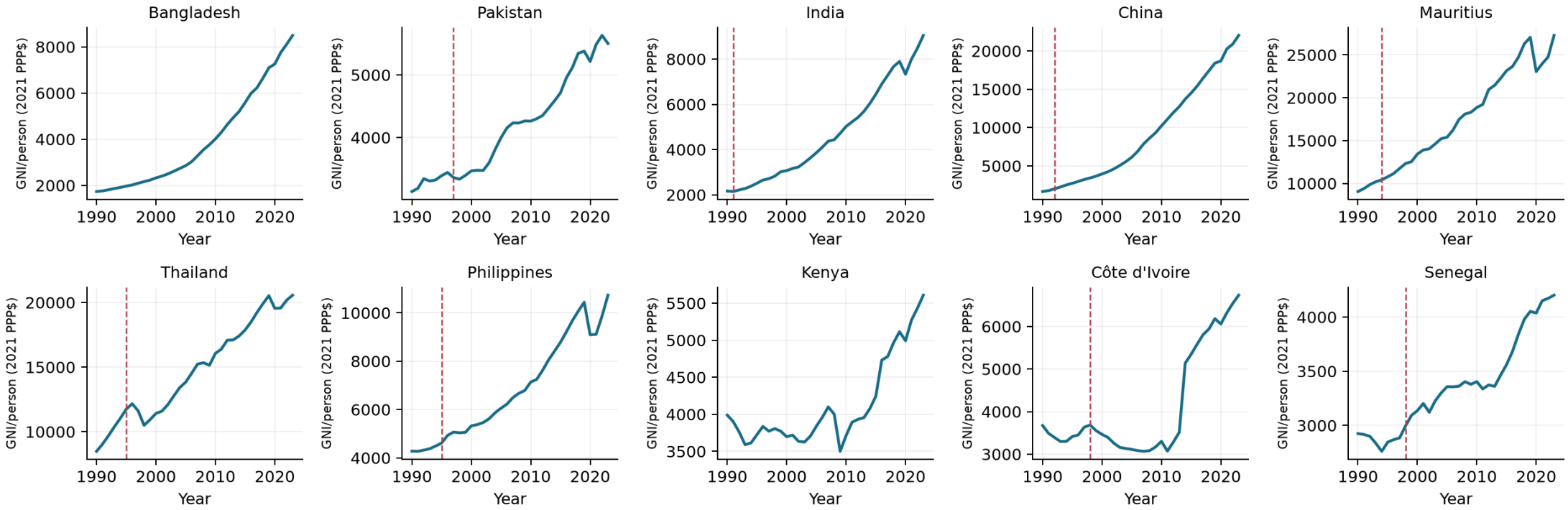
Cell numbers count markdown and code cells; all chart values are generated by the notebook.

Fig1	All ten screened countries: observed tariff histories	page 3 · cell 17
Fig2	Broader trade institutions: the chain-linked EFW panel	page 4 · cell 18
Fig3	Raw income histories before making event comparisons	page 12 · cell 19
Fig4	Income around the documented tariff-cutting episodes	page 5 · cell 20
Fig5	Income growth: before, after, and in other countries	page 6 · cell 21
Fig6	Which countries exceeded the broad comparator?	page 7 · cell 22
Fig7	Timing sensitivity: the denominator follows valid data	page 7 · cell 23
Fig8	Nepal: a different starting point from the largest cutters	page 9 · cell 24

Exact data: outputs/FigN_data.csv. Charts: figures/FigN.png and .pdf. Working file includes original dataset bytes.

Appendix B · Full-period raw income histories

Figure 3. Raw income histories before making event comparisons



UNDP HDR25 components, GNI/person (2021 PPP$), 1990–2023; n=10 screened countries. Country panels use different labelled y-scales.
Dashed=dated episode where available. Later outcomes are context, not part of the ten-year event estimate. No interpolation.

Appendix C1 · Public sources and access dates

IND1991	Government of India, Ministry of Finance · Union Budget Speech 1991–92 · 1991 Accessed 2026-10-16. Budget speech paragraphs 107 and 148; PDF pages 24 and 31
CHN1992	Zhang Yansheng, Wan Zhongxin and Zhang Shuguang; Institute for International Economics · Measuring the Costs of Protection in China, chapter 2 (open excerpt) · 1998 Accessed 2026-10-16. The Chinese Trade-Administration System, printed page 5; PDF page 3
MUS1994	World Trade Organization · Trade Policy Review: Mauritius, Secretariat summary · 1995 Accessed 2026-10-16. WTO 1995 review, Secretariat: Recent evolution
THA1995	World Trade Organization · Trade Policy Review: Thailand, Secretariat summary · 1995 Accessed 2026-10-16. WTO 1995 review, press release tariff paragraph and Recent evolution
PHL1995	President of the Philippines; Lawphil public reproduction · Executive Order No. 288, recital concerning EO264 · 1995 Accessed 2026-10-16. Executive Order 288, first WHEREAS recital
PAK1997	Social Policy and Development Centre · Evaluation of the Federal Budget 1999–2000, Research Report 23 · 1999 Accessed 2026-10-16. SPDC Evaluation of Federal Budget 1999-2000, PDF page 33, tax-reform discussion
CIV1998	International Monetary Fund · Côte d’Ivoire: Selected Issues and Statistical Appendix, Country Report 00/107 · 2000 Accessed 2026-10-16. IMF Country Report 00/107, printed page 18, Box 2; PDF page 19 (visually inspected)

Source titles are clickable in PDF. Full URLs, source files, checksums and locations: research/sources.md and source_register.csv.

Appendix C2 · Public sources and access dates

SEN1998	International Monetary Fund · Senegal: Statistical Appendix, Country Report 99/5 · 1999	Accessed 2026-10-16. IMF Country Report 99/5, printed page 32, Table 27; PDF page 33 (visually inspected)
BGDtiming	GATT · Bangladesh balance-of-payments review, BOP/W/160 · 1995	Accessed 2026-10-16. GATT BOP/W/160, paragraph 5; WTO 2000 government report tariff table
KENtiming	Government of Kenya / IMF · Enhanced Structural Adjustment Facility Policy Framework Paper 1996–1998 · 1996	Accessed 2026-10-16. Kenya Policy Framework Paper 1996-1998, paragraph 6; PDF page 5
EFW	Fraser Institute · Competition-supplied EFW workbook: chain-linked panel and raw Ratings · Coverage 1970–2024; release acceptance pending	Accessed 2026-10-16. Panel Area4 and Ratings raw 4Aii; original workbook hash preserved
UNDP	UNDP Human Development Report Office · All composite indices and components time series · HDR25; 1990–2023	Accessed 2026-10-16. GNI/person 2021 PPP dollars; components and country codes
EFW2026	Cato Institute / Fraser Institute · Economic Freedom of the World 2026, publisher landing page · 2026	Accessed 2026-10-16. Confirms release covers 2024; does not establish supplied file byte identity
EFWMETHOD	Fraser Institute / Cato Institute · EFW 2026: Explanatory Notes and Data Sources · 2026	Accessed 2026-10-16. Area4 A(ii), printed page94 / PDF page8; rating floor methodology

Source titles are clickable in PDF. Full URLs, source files, checksums and locations: research/sources.md and source_register.csv.

Appendix C3 · Public sources and access dates

NPLTARIFF	Nepal Department of Customs · Integrated Customs Tariff FY2083/84 · 2026/27	Accessed 2026-10-16. PDF pages4–5: legal basis and Schedule1; page215: higher non-agricultural basic duties
NPLACT	Nepal Law Commission · Customs Tariff Act 2081 · 2024	Accessed 2026-10-16. Act first page and import Schedule1; direct PDF URL in fetch_law_manifest.json
NPLFIN	Nepal Law Commission / Department of Customs · Finance Act 2083 listing · 2026	Accessed 2026-10-16. Current legislation listing; use current integrated tariff for implemented rate context
THACRISIS	World Trade Organization · Trade Policy Review: Thailand · 1999	Accessed 2026-10-16. Financial crisis is a realistic competing explanation for growth slowdown
CIVCONFLICT	World Bank · Côte d’Ivoire: Strengthening Public Expenditure Management and Controls, Report27141-IVC · 2003	Accessed 2026-10-16. Summary: instability since1999 and civil conflict2002; alternative explanation, not quantified here

Source titles are clickable in PDF. Full URLs, source files, checksums and locations: research/sources.md and source_register.csv.

Appendix D · AI disclosure and reproducibility

OpenAI Codex assisted with inspecting datasets, writing and debugging code, checking reproducibility, researching public policy sources, drafting analysis documentation and generating the presentation. The participant is responsible for reviewing the work and explaining all submitted claims.

The working notebook embeds both original datasets and the date ledger. Run all cells from an empty directory or fresh Colab runtime. Exact figure tables, source locations, package versions and validation reports are included.

Solo entry: no team contribution statement. Organiser declaration approval, dataset-scope acceptance, final deadline and signed-out sharing checks remain external pending items. No submission or organiser contact has been made by the assistant.